CASE NO. 2026CA391

IN THE

The Court of Appeals, State of Colorado

2 East 14th Avenue
Denver, Colorado 80203

EMILY MASSON
Plaintiff-Appellant

v.

THE SAN MIGUEL AUTHORITY FOR REGIONAL TRANSPORTATION, THE TOWN OF MOUNTAIN VILLAGE AND THE TOWN OF TELLURIDE

Defendants- Appellees

Appeal from the DISTRICT COURT, SAN MIGUEL COUNTY, COLORADO

Case No. 2024CV008

APPELLANT MASSON'S OPENING BRIEF

Morgan C. Smith. No. 61808
MORGAN C. SMITH LAW FIRM
3130 Last Dollar Rd.
PO Box 3460
Telluride, CO 81435
Telephone: 970.239.1470
Email: Morgan@morgancsmithlaw.com

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I. ISSUES ON APPEAL

1. Whether the district court reversibly erred by awarding attorney fees of over $100,000 on a conclusory basis, without making the specific findings required by law, or conducting the analysis required by COLO. REV. STAT. § 13-17-103(1) and *Pedlow v. Stamp*, 776 P.2d 382 (Colo. 1989).

2. Whether the fee awards against TOT and TOMV are unlawful because COLO. REV. STAT. § 1-11-217(2) authorizes fees only upon a "judgment" against the contestor, and COLO. REV. STAT. § 13-17-102(5) bars fees after MASSON voluntarily dismissed those claims within a reasonable time.

II. SUMMARY OF ARGUMENT

By awarding attorney fees against appellant MASSON without conducting the required analysis or providing written findings under COLO. REV. STAT. § 13-17-103, the court abused its discretion as a matter of law. The award also cannot stand because MASSON advanced a good-faith, first-impression theory under COLO. CONST. ART. X, § 20(3)(b)(v), which is protected by COLO. REV. STAT. § 13-17-102(7) for an award of fees.

Acting initially *pro se*, MASSON alleged that the San Miguel Authority for Regional Transportation ("SMART") failed to provide reasonable notice sufficient to allow electors to submit statements opposing a ballot measure authorizing a multimillion-dollar tax increase. The court denied MASSON's claims on the merits and later awarded attorney fees to all defendants.

That fee ruling rests on an error of law: a novel constitutional theory advanced in good faith and supported by rational argument does not become frivolous merely because it was unsuccessful. Here, MASSON's claim presented an unresolved question regarding the scope of TABOR's notice-related requirements, and no Colorado appellate decision has resolved whether electors must receive reasonable notice of the procedures for submitting comments on a TABOR ballot issue. Her claim, therefore, sought clarification of unsettled law, which is precisely the kind of good-faith legal development protected by COLO. REV. STAT. § 13-17-102(7), and consistent with *Western United Realty, Inc. v. Isaacs*, 679 P.2d 1063 (Colo. 1984).

MASSON's position is also consistent with TABOR's voter-protection and restraint-of-government purposes, as reflected in *Bickel v. City of Boulder*, 885 P.2d 215 (Colo. 1994), and *Bruce v. City of Colorado Springs*, 129 P.3d 988 (Colo. 2006). The record further reflects no finding of bad faith, improper motive, false factual assertions, dilatory tactics, missed deadlines, or procedural abuse. Instead, the trial court entered conclusory fee orders without the findings, reasoning, or statutory analysis required for meaningful appellate review. CF, pp. 658–664, 780–781, 789; COLO. REV. STAT. § 13-17-103.

The fee awards also fail for several additional reasons. The court did not adequately address the factors required by COLO. REV. STAT. § 13-17-103 and *Pedlow v. Stamp*, 776 P.2d 382 (Colo. 1989); did not make independent findings explaining why MASSON's claims were allegedly frivolous or groundless; did not consider the voluntary dismissal provisions OF COLO. REV. STAT. § 13-17-102(5) and COLO. REV. STAT. § 1-11-217(2); and did not properly apply the protections given to *pro se* litigants under COLO. REV. STAT. § 13-17-102(6) regarding the first month of the case when she was in *pro per*. The court also failed to evaluate the importance of MASSON's rejected settlement offer under COLO. REV. STAT. § 13-17-103(1)(h) and overlooked the statutory protection for good-faith efforts to establish new law under COLO. REV. STAT. § 13-17-102(7).

III. BACKGROUND

A. History of Measure 3A

MASSON is a longtime resident of the Town of Telluride ("TOT"), located in San Miguel County. Trial Record - 4/18/25 ("TR"), p. 15. In October 2024, she received the official Tabor notice for Ballot Issue 3A—a tax measure proposed by the San Miguel Authority for Regional Transportation ("SMART") that appeared on the November 2024 ballot. TR, pp. 26-27, 74. The notice explained that Measure 3A would raise approximately $8.2 million annually for regional transportation and the gondola system. Trial Exhibits ("EX"), pp. 7-10. The TABOR notice included only one comment, which supported Measure 3A. The comment was authored by Scott Pearson, the Mayor Pro-Tem of Mountain Village ("TOMV") at the time, who was involved in the gondola planning process throughout. TR, p. 99-100; EX, pp. 121, 129. The omission of any statement opposing the measure led to this case.

For background, SMART officially approved the Measure 3A ballot referral on September 5, 2024. TR, p. 118; EX, p. 116. It is undisputed that neither SMART nor any of the supporting public entities for Ballot Measure 3A included information on how, when, or where to file comments in support of or in opposition to being included in the TABOR notice. TR, p. 73; EX, pp. 12-13, 16-17, 19-20, 37, 44-46, 48-50, 52-55, 57-59. The deadline to submit pro and con comments for inclusion in the Tabor notice was noon on September 20, 2024. TR, p. 74. See COLO. REV. STAT. § 1-7-901(4).

B. MASSON claimed the 3A campaign was misleading

While MASSON *does not* challenge the portion of her case involving alleged misleading statements regarding Measure 3A, this background is offered to provide context and to demonstrate that, while MASSON's claim of a misleading campaign was ultimately unsuccessful, it was far from frivolous.

The claims of misrepresentation originated from the formation of the Gondola Advisory Committee ("GAC") in 2016, which initially included the TOMV, TOT, San Miguel County ("COUNTY"), and SMART. EX, pp. 7-10. Its original goal was to discuss the future of gondola operations, including the January 2028 funding deadline, after which the Telluride Mountain Village Owners Association. ("TMVOA") would no longer bear sole responsibility for all gondola operating costs. TR, pp. 44-45; EX, pp. 75, 77. In June 2022, the GAC formally voted to pursue a new gondola system because the current one had reached the end of its useful life. CF, pp. 77.

In November of 2023, a year before Measure 3A was placed on the ballot, a new IGA was entered into by the same members of the 2016 agreement, but now included the non-public entity stakeholders TELSKI and TMVOA. TR, pp. 35, 54, EX, p. 22. SMART was the lead participant in the GAC. TR, pp.78-79. The GAC members discussed various funding options and scenarios following this June 2022 determination. TR, p.89- 90. The GAC, under the 2023 IGA, operated on a nearly $1 million budget, with approximately $170,000 allocated to "election consultant services." EX, p. 25.

Just before the new GAC agreement was signed, SMART hired campaign consultant Kerry Donovan of Ulysses Strategies ("ULYSSES") in October 2023 to help develop all messaging for the future "Yes on 3A" campaign. TR, pp. 38-39; EX, pp. 71-73, 91, 129, 135, 138, 140, 142. SMART retained ULYSSES to develop a comprehensive campaign plan, analyzing polling data, identifying strengths and weaknesses, and "crafting a narrative that tells the story of SMART, the gondola, and its impact on people's lives." EX, pp. 91-92.

While employed by SMART, ULYSSES' responsibilities included frontloading campaign work for the "Yes on 3A" effort by building "a list of endorsers and storytellers to target," drafting a campaign budget, and finalizing outreach talking points. *Id*. She participated in all major gondola meetings and authored a draft resolution describing Measure 3A as creating "a new funding source spread over different user groups to keep the gondola running and create a capital reserve for building a new gondola." TR, p. 54; EX, pp. 12, 16, 19.

ULYSSES recognized that a campaign narrowly centered on shifting operating costs from TMVOA to the rest of the Towns and County citizens was likely to fail. EX, pp. 135, 138. Instead, she concluded that voters would respond better to a vision highlighting the aspirational potential of a new gondola system—presenting Measure 3A as a "savings account" for future improvements. EX, p. 136. Once 3A was placed on the ballot on September 5, ULYSSES created the ballot issue group "Friends of the Gondola – Yes on 3A" ("FOG") on September 11, 2024. EX, p. 98.

ULYSSES attended all the key gondola leadership meetings. EX, pp. 129, 135, 138, 140, 142. ULYSSES also drafted SMART's press release, which was later finalized as the September 6 press release that SMART SENT. EX, pp. 94, 246, 250. ULYSSES' imprint on this process was again notable, as the identical language appeared in resolutions adopted by TOT, TOMV, and San Miguel County, based on the ULYSSES draft. EX, pp. 12-13, 16-17, 19-20, 140, 146.

The FOG promoted 3A visually and symbolically. Two brand-new ten-passenger gondola cars were installed at the entrances to each town, different from the current 8-passenger gondola cars. TR, pp. 40, 94; CF, p. 19-38. Mayor Pro Tem Scott Pearson of Mountain Village publicly posted that these gondolas were "more than a fancy billboard" and represented "the kind of new gondola car we could get if 3A passes," promising enhanced capacity, faster rides, and even heated seats. EX, p. 86.

MASSON's claim was based on her belief that ULYSSES' dual roles—first developing messaging for SMART and then leading the external FOG campaign—blurred the line between public agency advocacy and independent campaigning, creating a misleading narrative aimed at diverting voters from the less appealing "spreadsheet" message and toward the aspirational idea of a future gondola. EX, p. 135. SMART's executive director, Mr. Averill, admitted that revenue from 3A was insufficient to pay for a replacement gondola, which would require significantly more funding if it were ever built. TR, pp. 89-90, 117. [1]

Following certification of the election results, MASSON timely filed a *pro se* election contest under COLO. REV. STAT. § 1-11-213. CF, p. 3-11. She obtained the summons and

[1] Whether this activity violated the Colorado Campaign finance laws, which preventing public entities from donating funds in support of a ballot measure was not addressed by the trial court. See COLO. REV. STAT. § 1-45-103(6)(c)(1). There certainly appears a valid argument that the GAC and SMART spending almost $170,000 in "election campaign" expenses before SMART referred the ballot measure on September 5, 2024, violated this law as it clearly provided "things of value" to the Yes of 3A campaign. CF, p. 25.

served the various defendants in a timely manner. CF, pp. 89-100, She acted without counsel because the statute imposes a ten-day filing deadline. [2] *Id*. Her complaint alleged that SMART's comment process violated TABOR's requirements by effectively precluding the public from submitting meaningful opposing statements. Seeking to limit the issues for trial, MASSON offered to dismiss TOT and TOMV with a waiver of costs, but the offer was not accepted. As such, MASSON brought a motion to dismiss these defendants, which the court granted before trial.

After the April 18, 2025, bench trial, the district court denied the remaining election claims against SMART in its August 4, 2025, order. CF, pp. 658-664. The court concluded that COLO. REV. STAT. §§ 1-7-901 and § 1-7-903 did not obligate SMART to provide any notice of the comment deadline or timing for the submission process. *Id*. at 660–661. The court's August order made *no findings* regarding the language of TABOR § 20(3)(b)(v) requiring a dual notice. MASSON elected not to appeal the merits ruling, intending to let the matter rest.

However, after the appeal period expired, SMART filed a motion for attorney's fees in excess of $68,000. [3] Nearly five months after entering its merits decision, the district court issued three brief orders awarding fees for all defendants on December 31, 2025, with a finding that MASSON's claims were frivolous and lacked substantial justification. CF, pp. 780–781, 789. MASSON now appeals those attorney-fee awards.

[2] MASSON obtained trial counsel who appeared in this action on December 18, 2024. CF, p. 104.

[3] This claimed amount was in addition to the $32,116.50 already requested by the two dismissed defendants TOMV and TOT, making a total fee request of $100,683 for all defendants.

IV. STANDARD OF REVIEW

The fee award should be reversed because the district court did not merely err in judgment; it failed to apply the governing fee-shifting statutes and did not make the findings Colorado law requires before branding a citizen's constitutional challenge "frivolous." Although fee awards are generally reviewed for abuse of discretion, a court necessarily abuses that discretion when it applies the wrong legal standard or omits the findings that make appellate review possible. *Western United Realty, Inc. v. Isaacs*, 679 P.2d 1063, 1070 (Colo. 1984); *Pedlow v. Stamp*, 776 P.2d 382, 386-87 (Colo. 1989). This legal question is, therefore, reviewed *de novo. Colo.* See *Citizens for Ethics in Gov't v. Comm. for Am. Dream*, 187 P.3d 1207, 1220 (Colo. App. 2008); *In Re Parental Responsibilities Concerning D.P.G.*, 472 P.3d 567, 573 (Colo. App. 2020). That matters here because the decisive issue is not whether the district court disliked MASSON's theory, but whether Colorado law permitted sanctions against a litigant who advanced a rational, good-faith argument seeking clarification of an unsettled constitutional provision.

It does not. COLO. REV. STAT. § 13-17-102(4) authorizes fees only when an action is "substantially frivolous, substantially groundless, or substantially vexatious." That is a narrow standard, and Colorado courts have repeatedly held that a claim is not sanctionable if the party can present any rational argument based on the evidence or law. *Western United Realty*, 679 P.2d at 1069. Colorado also expressly protects a good-faith attempt to establish a new theory of law. *Colo. Rev. Stat*. § 13-17-102(7). MASSON's TABOR notice theory falls squarely within that protection: it was a constitutional argument about an unsettled issue of law, not a sham claim filed for delay or harassment.

The procedural defects are just as serious. COLO. REV. STAT. § 13-17-103 requires the court to "specifically set forth the reason for said award" and to consider statutory factors before imposing fees. *Pedlow*, 776 P.2d at 386-87. Here, the court's conclusory ruling, adopted by reference to the fee motions, gave no independent explanation for why any claim crossed the line from unsuccessful to frivolous. That is not a harmless omission. It is the kind of unexplained sanction order Colorado appellate courts have rejected because it deprives the sanctioned party of meaningful review and masks whether the court actually applied the statute at all. *Id*.

The election-contest award against MASSON is also legally infirm because COLO. REV. STAT. § 1-11-217(2) ties fees to a suit being "ruled frivolous, as provided in article 17 of title 13." That cross-reference incorporates article 17's strict standards, including the requirement that the court identify why the claim lacked any rational basis and why sanctions are warranted despite the statute's protection for good-faith legal innovation. The district court made no such showing.

In short, the orders should be reversed because Colorado law does not permit fee sanctions against a litigant simply for losing a first-impression constitutional challenge, and the court below failed to make the findings necessary to support the award at all.

V. MASSON'S NOTICE-REQUIRED THEORY IS RATIONAL

A. COLO. CONST. ART X, SEC. 20

TABOR § 20(3)(b)(v) requires that the election notice include "[t]wo summaries, up to 500 words each, one for and one against the proposal, of written comments filed with the election officer by 45 days before the election." COLO. CONST. ART. X, § 20(3)(b)(v).

That text specifies the required content, but it does not expressly answer whether the public entity must also tell electors how, when, and where to submit comments for inclusion in the notice.

For purposes of this appeal, MASSON need not prove that her interpretation is ultimately correct. The relevant question is whether it is *rational*. Colorado law does not require the claimant to establish the best reading of the constitutional text; it requires only a nonfrivolous, reasonable argument grounded in the provision's text, structure, and purpose.

One rational reading, advanced by SMART in the trial below, is that the public entity's duty is limited to compiling and summarizing comments *actually received*, with no separate obligation to provide notice of the submission process or deadline. TR, p. 10. SMART asserts this construction finds support in COLO. REV. STAT. §§ 1-7-901 to -903, especially § 1-7-903(4), which contemplates the situation that, where no comments are timely received, the notice must simply state this fact. Under this view, the entity serves as a passive recipient of comments, and the statute imposes no additional communication duty.

MASSON's alternative "notice-required" interpretation is also reasonable. It depends on TABOR's purpose clause, which states its provisions should be interpreted in the manner most likely to "reasonably restrain the growth of government. " COLO. CONST. ART. X, § 20(1). This interpretation is also grounded in the Colorado Supreme Court's guidance that ambiguities in TABOR should be resolved in favor of the interpretation that best furthers that purpose. *Bruce v. City of Colorado Springs*, 129 P.3d 988, 992 (Colo. 2006).

According to MASSON's view, a public entity's provision of adequate notice on how to submit comments is not an unnecessary burden disconnected from TABOR's text; rather, it helps make the notice requirement effective and encourages informed voter participation. A litigant could therefore reasonably argue that failing to provide such procedural information weakens TABOR's goals of transparency and government restraint by highly discouraging the likelihood of comments in opposition.

That argument is supported by the practical consequences of the opposite view. If voters are not instructed on how to submit comments, opposition comments might never be received, and the required notice could become effectively one-sided. This necessarily leads to less meaningful public scrutiny of the proposal. MASSON reasonably argued that such a result is extremely difficult to reconcile with TABOR's voter-protective purpose.

MASSON's also relied on *Bickel v. City of Boulder*, 885 P.2d 215 (Colo. 1994), as a solid basis for her notice required theory. Although *Bickel* dealt with a different TABOR subsection, the court acknowledged that the directly stated provisions of TABOR regarding what information is required in the notice must be enforced to ensure substantial compliance with the constitutional requirement and to maintain the electorate's ability to make informed decisions. *Id*. at 227-28. Similarly, *Bruce* confirms that TABOR's notice requirements should be interpreted in light of their constitutional purpose rather than reduced to a simple technicality. *Bruce*, 129 P.3d at 992-93. Taken together, these cases establish a good-faith foundation for MASSON's argument that the public entity had at least a limited duty to provide basic procedural notice for comment submission to meet the overall purpose of TABOR.

Accordingly, even if the district court ultimately rejected MASSON's construction, her theory is far from frivolous. It is a colorable, first-impression argument rooted in TABOR's text, purpose, and Colorado precedent.

B. Reasonable notice of comment timing and process is routinely provided by public entities

MASSON provided numerous examples of other elections in which the proponents notified the public about the ballot measure, including details on where, when, and how to submit written opposition. CF, p. 730–768. [4] The purpose of this evidence is to show that many public entities either interpret TABOR § 20(3)(b)(v) as requiring such notice, or at a minimum, that such notice is reasonable and should be, and can be provided with little difficulty.

C. Plaintiffs' claim represents a valid and good-faith extension of existing law under COLO. REV. STAT. § 13-17-102(7)

Plaintiffs' claims fall squarely within the protection of COLO. REV. STAT. § 13-17-102(7), which exempts from fee liability any action filed by a "party in a good faith attempt to establish a new theory of law in Colorado." MASSON complied exactly with the procedural safeguards required by this statute by identifying the relevant precedent in their complaint and specifying how she sought to extend or modify such provision to require basic notice requirements. CF, p. 8, ¶¶19-21.

[4] These notices that included the information on how were and when to submit opposition comments, were from the Town of Eagle (CF, p. 730); the City of Rifle (CF, p. 733); the city of Basalt (Cf, p. 738); the Town of Lyons (CF, p. 739, 747); the City of Fort Collins (CF, p. 744); Pitkin County (CF, p. 750); and the Town of Mountain Village (CF, p. 770).

The purpose of COLO. REV. STAT. § 13-17-102—limiting fee awards to cases that are "substantially frivolous, substantially groundless, or substantially vexatious"—has been judicially enforced to avoid chilling good-faith claims. In *Shaw v. Baesemann*, 773 P.2d 609, 611 (Colo. App. 1988), the court emphasized that § 13-17-102 must be construed to harmonize with the broader statutory framework and consistent legislative purpose. The court made clear that fees cannot be imposed where a claim represents an honest attempt to evolve the law, reasoning that "no attorney or party may be assessed fees as to any claim or defense brought in a good faith attempt to establish a new theory of law." *Id.* at 611. This principle ensures that Colorado's legal landscape continues to develop through citizen engagement, without fear of reprisal in the form of fee sanctions.

VI. All FEE ORDERS WERE ISSUED IN ERROR OF LAW

On December 31, 2025, almost five months after the ruling on the merits by the trial court, the trial court issued three brief orders granting attorney fees for SMART, TOT and TOMV. CF, pp. 780–781, 789.

A. All orders failed to include the required findings of fact or law under COLO. REV. STAT. § 13-17-103(1)

COLO. REV. STAT. § 13-17-103(1) is clear on the legal requirements factors that require analysis by the court, and states that the "court *shall* specifically set forth the reasons for the award and *must* consider the following factors." (emphasis added). This mandatory requirement implicates fundamental procedural due process protections and therefore requires either a hearing and/or detailed, case-specific findings explaining why the claims were frivolous and addressing these factors. In *Pedlow v. Stamp*, 776 P.2d 382

(Colo. 1989), the court overturned an award of attorney fees when the court failed to address the mandatory factors. *Id*. at 386, (the *Pedlow* court stated that "without such factual findings, appellate review is not possible." See also *In re Marriage of Gomez*, 728 P.2d 747, 750 (Colo. App. 1986), holding that where the "trial court made no findings as to why it regarded wife's claims frivolous. . . [the] findings are insufficient to support the award of attorney fees.")

Those principles control here. The trial court provided neither a hearing on the merits where the court could engage in the required analysis, nor did the court articulate any findings of fact or law, nor did it address MASSON's notice theory based on TABOR § 20(3)(b)(v) when deciding on the merits of the case. [5] Rather than providing the necessary hearing or detailed legal and factual findings required for due process, the trial court instead supported its decision with a wholesale "incorporation by reference," stating only that attorney fees were awarded "[f]or the reasons stated" in defendants' motions and replies. CF, p. 780-789.

That approach does not meet the requirements of COLO. REV. STAT. § 13-17-103 or procedural due process. A sanction order that simply attaches or references adversarial briefing obscures whether the court independently applied the statutory standard, deprives the sanctioned party of notice of the court's (rather than the moving party's) reasoning, and hinders meaningful appellate review because it is entirely unclear *which* arguments or

[5] MASSON later stipulated to the reasonableness of the award to remove the matter from a hearing a couple of months later but reserved the right to challenge the award of entitlement to such fees.

statements in the moving papers the court accepted or rejected, or how much weight was given to any specific argument.

Colorado precedent requires more. Especially where the court made no finding of bad faith, the court was required to explain, on the record and in its own words, why the claims allegedly crossed the narrow line from unsuccessful to substantially frivolous or groundless. COLO. REV. STAT. § 13-17-103(1). The orders here contain no such explanation and should be reversed.

B. The omitted COLO. REV. STAT. § 13-17-103 factors independently confirm reversal

But even if this Court were to look beyond that procedural defect of failing to comply with COLO. REV. STAT. § 13-17-103(1), the statutory factors that the court did not address weigh decisively against an award of attorney fees.

i. Efforts to determine the factual and legal validity of the claims

MASSON did not file these claims recklessly or without investigation. Before filing, she reviewed the governing statutory and constitutional authorities and asserted claims that, in her view, fit the text of Colorado's election laws and TABOR. She also faced a compressed filing deadline under COLO. REV. STAT. § 1-11-213, which required a written contest within ten days after the official canvass was filed. That short deadline helps explain why she initially proceeded *pro se* and obtained counsel only after filing approximately one month later.

The record further reflects that MASSON asserted different claims against different defendants based on each defendant's role in the election process. She asserted an election-violation claim against TOT, a possible claim against TOMV regarding campaign signage, a claim under COLO. REV. STAT. § 1-11-213 concerning second homeowners' alleged improper participation in the vote, and a TABOR-based claim against SMART grounded in the notice language of COLO. CONST. ART. X, § 20(3)(b)(v). Whatever the ultimate merits of those claims, they were not filed without an articulated legal basis or without an effort to evaluate their validity.

ii. Novelty of the claims

This factor strongly favors MASSON. Her lawsuit advanced a novel interpretation of TABOR's notice provisions, specifically the argument that COLO. CONST. ART. X, § 20(3)(b)(v) requires a public entity to provide some minimal notice regarding how and when comments may be submitted for inclusion in the summary notice process. That theory has not been resolved by Colorado authorities, and it presents a legitimate question of first impression.

iii. Absence of improper motive or harassment

Nothing in the record suggests that MASSON acted in bad faith, filed suit to harass the defendants, or pursued the case to delay implementation of the 3A taxes. There is no indication that she submitted false evidence, ignored court orders, or engaged in dilatory conduct. To the contrary, the issue was litigated as a legal challenge to the structure and legality of the election-related process.

The absence of any finding of subjective bad faith is significant. A fee award entered without such findings, and without an explanation why the claims nonetheless warranted sanctions, does not satisfy the statutory scheme or permit meaningful appellate review.

iv. Consistency with public policy

This factor also favors MASSON. Colorado's fee-shifting statute expressly protects claims brought in a good-faith attempt to develop new law. COLO. REV. STAT. § 13-17-102(7). That policy is especially important where, as here, the MASSON sought judicial review of election-related procedures affecting public accountability and voter information.

The potential chilling effect of this award is real, not just theoretical. Election-related challenges are tough to file, time-sensitive, and often involve issues not yet settled by the courts. Punishing someone for raising a plausible first-impression legal theory runs counter to the goal of encouraging the testing of unsettled legal questions and could potentially violate the First Amendment right to petition the government for redress. See *CSMN Invs., LLC v. Cordillera Metro. Dist.*, 956 F.3d 1276 (10th Cir. 2020); *Cal. Motor Transp. Co. v. Trucking Unlimited*, 404 U.S. 508 (1972).

v. The relative financial situation of the parties

This factor also weighs against an award of fees. The defendants are governmental or quasi-governmental entities with substantial public resources, while MASSON is an individual citizen. Although disparity in resources is not dispositive on its own, it matters in evaluating whether a fee award is equitable and whether such an award would chill future good-faith challenges by ordinary voters.

vi. The effect of the settlement offer

MASSON's settlement proposal further supports the reasonableness of her position. On February 18, 2025, she offered to settle if the defendants would simply confirm that Measure 3A was only a tax increase under TABOR, *not* an authorization for SMART to enter long-term debt, which would be necessary if a new gondola were to actually be built. That offer sought clarification of the measure's legal character and reflected an effort to resolve the dispute without further litigation.

The defendants refused to respond meaningfully to the offer. At a minimum, the offer was relevant under COLO. REV. STAT. § 13-17-103(1)(h), which requires the court to consider the amount and conditions of any settlement offer relative to the final relief obtained. The trial court's failure to address this factor further highlights the inadequacy of the fee order.

Even aside from the trial court's procedural failure to make findings, the COLO. REV. STAT. § 13-17-103 factors weigh against sanctions. MASSON acted under a tight statutory deadline, pursued a novel and reasonable TABOR theory, did not engage in bad-faith conduct, and tried to resolve the issue through settlement. The fee award should therefore be reversed.

C. The fee orders also fail because the court did not address the COLO. REV. STAT. §13-17-102(7) good faith safe harbor

Colorado law expressly bars fee awards against a party who asserts a claim in a good-faith attempt to establish a new theory of law. COLO. REV. STAT. § 13-17-102(7). Although subjective good faith alone is not enough, the claimant must also advance a plausible theory and argument for adoption of the new legal principle. *Sullivan v. Lutz*, 827 P.2d 626, 628 (Colo. App. 1992).

That standard is met here. MASSON's TABOR claim presented a colorable, first-impression argument concerning the notice requirements of COLO. CONST. ART. X, § 20(3)(b)(v). The trial court made no finding that her theory lacked plausibility, nor did it address why the claim fell outside the statutory safe harbor. Because the statute forbids fees for good-faith efforts to establish new law, the award cannot stand.

VII. THE INDIVIDUAL AWARDS WERE ISSUED IN ERROR

A. The trial court issued the SMART order for fees in error

i. The court failed to address the tension between TABOR § 20(3)(b)(v) and state statutes

When the trial court dismissed MASSON's election claims by way of the August 4, 2025, order, the court never addressed the interplay of TABOR § 20(3)(b)(v), and the state enabling statutes cited by defendants in Colo. Rev. Stat. §§ 1-7-901, *et seq*. CF, p. 658-664. This blind spot continued with the SMART order for attorney fees, which also provides no discussion of whether the court considered such language of TABOR § 20(3)(b)(v) or not.

ii. The timing of SMART's motion for attorney fees, regardless of intent, deprives MASSON of due process

Following the district court's August 4 order denying all election claims, MASSON had only twenty days—until August 24, 2025—to appeal the merits of her election claim. See COLO. REV. STAT. § 1-11-214(2). Although MASSON disagreed with the trial court's ruling, she elected not to appeal the ruling in favor of SMART, seeking to allow the litigation to end. However, this was not to be.

On August 25, 2025—the day after the jurisdictional appeal deadline passed—SMART filed its motion for attorney fees, requesting over $68,000.[6] This sequence is legally important. While C.R.C.P 121 § 1-22 permits a litigant 21 days to file a motion for attorney fees, this timing generally fits within the usual 49-day period to appeal the underlying judgments on the merits to the court of appeals.[7] C.A.R. 4(a)(1). However, under COLO. REV. STAT. § 1-11-214(2) MASSON only had 20 days in which to file an appeal on the merits. That means MASSON's right to appeal had already expired when SMART filed its motion for attorney fees. This created an unfair win-win situation in which SMART faced no risk that MASSON would bring an appealable claim on the merits, while SMART pursued a significant attorneys' fees claim that ultimately succeeded in the trial court.

6 When combined with the other defendants the total award of fees was $100,683.

7 While TOMV filed its motion for fees before the shortened 20-day deadline to appeal this case on the merits, MASSON reasonably believed, and argued that since TOMV was voluntarily dismissed, they were not entitled to any award of fees under the required strict reading of COLO. REV. STAT. § 1-11-217.

iii. The award fails to identify *when* dismissal of TOMV was alleged "reasonable"

The TOMV order is similarly cursory. CF, p. 780. It states only that the claims against TOMV lacked "substantial justification" and that MASSON failed to dismiss TOMV "within a reasonable time." *Id*. However, the record shows no factual finding by the court regarding *when* that clarity purportedly arose—whether before filing in *pro se*, after defendants provided detailed election information in their respective answers, or after TOMV specifically failed to accept the offer of settlement, including a waiver of all election claims against it. CF, pp. 313-317.

The order does not address whether either or both claims brought against TOMV (i.e. the campaign violation under COLO. REV. STAT. §1-45-77, or the COLO. REV. STAT. §1-11-213 election claim regarding illegal voting) were unreasonable at the time brought, or at some later point.

In the present case, the written complaint was filed on Nov. 26, 2024. CF, p. 3-8. Rather than file an answer as required under § 1-11-213, all defendants instead filed motions to dismiss that plaintiff successfully struck. CF, pp. 124, 141, 155, 163. Such motions were not resolved by the court until March 12, 2025, when defendants were ordered to properly answer the complaint. CF, p. 301. The defendants answered MASSON's complaint on March 21, 2025 (less than one month before the April 18^{th} trial). CF, pp. 305, 331, 409.

On April 3, counsel for MASSON again explained the nature of the offer to compromise all claims, including as to TOMV. CF, pp. 567-568. On April 4, the court set the trial for two weeks later on April 18, 2025. CF, p. 426. Without any agreement to dismiss with a waiver of costs and fees or any response at all, MASSON filed a motion to dismiss on April 16, 2025. CF, p. 451.

Absent such analysis, the "reasonable time" conclusion is speculative and unsupported without any way for this court, upon review, to determine what, if any, rationale the trial court employed in reaching its one-sentence conclusion.

B. MASSON alleged a valid campaign finance violation against TOT

MASSON's claim against TOT was not frivolous. Under COLO. REV. STAT. § 1-45-101 et seq., public entities may not contribute to a ballot measure campaign, and COLO. REV. STAT. § 1-45-117 prohibits such contributions. MASSON presented evidence that the "Campaign Gondola" advocating a Yes vote on 3A was located at least partially on government property at the entrance to TOT and was visible to TOT officials and staff entering town over a substantial period, which supported, at a minimum, constructive notice. CF, pp. 26, 29, 33-38, 305.

MASSON also properly pursued the statutory administrative process prior to filing this campaign finance claim. Pursuant to COLO. REV. STAT. § 1-45-117, she and others timely filed a complaint with the Secretary of State alleging a violation of the campaign-finance laws as to TOT and TOMV. CF, pp. 201-207. When the Secretary of State dismissed the complaint for lack of jurisdiction, MASSON had a colorable basis to seek judicial review under COLO. REV. STAT. § 24-4-106, which permits a person "adversely affected or aggrieved" by agency action to obtain district-court review. In light of that posture, the district court should have addressed the merits of the campaign finance claim against TOT before imposing fees; its failure to do so requires reversal.

C. COLO. REV. STAT. § 1-11-217(2) does not allow an award absent a "Judgment" against the Contestor

The court's award of fees to TOMV and TOT also failed to address the provision of COLO. REV. STAT. §1-11-217(2) requiring a "judgment" before any award of fees is allowed. In this case, no judgment was entered in favor of defendant TOMV or TOT, as both were voluntarily dismissed.

Statutes authorizing attorney fees are in derogation of the common law and therefore must be strictly construed. *Western United Realty, Inc. v. Isaacs*, 679 P.2d at 1068-69. That statutory prerequisite is not met here. The claims against TOMV and TOT were therefore never adjudicated to a final judgment in SMART's favor under the election-contest framework set forth in COLO. REV. STAT. § 1-11-211 to 214 and COLO. REV. STAT. § 13-17-102(5).

Nor can the dismissal be treated as a judgment on the merits. Colorado courts have consistently held that a disposition on preliminary or procedural grounds is not an adjudication on the merits. *Batterman v. Wells Fargo Ag. Credit Corp.*, 802 P.2d 1112, 1118 (Colo. App. 1990). The structure of the election contest statutes indicates that the legislature intended a trial on the merits and a judgment to be the prerequisite for fee liability. A voluntary dismissal does not settle the parties' rights regarding the ballot issue and is not a judgment "against" the contestor. Because there was no judgment on the merits against MASSON as to TOMV OR TOT, the fee-shifting provision of COLO. REV. STAT. § 1-11-217(2), strictly construed as it must be, was never triggered. The award of attorney fees in favor of TOMV and TOT therefore exceeds COLO. REV. STAT. §1-11-217 express terms and must be reversed.

VIII. CONCLUSION

The fee award should be reversed outright. Colorado law does not permit a trial court to impose attorney fees by conclusory fiat, and that is exactly what happened here. Under COLO. REV. STAT. § 13-17-102(4) and COLO. REV. STAT. § 13-17-103, fees may be awarded only when the court makes specific, evidence-based findings that a claim was substantially frivolous, groundless, or vexatious. *Pedlow v. Stamp*, 776 P.2d 382 (Colo. 1989). The district court made no such findings. It never identified when MASSON's claims supposedly crossed the line from unsuccessful to sanctionable, never conducted the required analysis as to TOT or TOMV, and never explained why her claims fell outside the protections that Colorado law expressly affords to good-faith litigants. That alone is reversible error.

More importantly, MASSON's claims were not frivolous. They presented a novel, good-faith constitutional theory concerning TABOR ballot transparency, precisely the sort of legal argument COLO. REV. STAT. § 13-17-102(7) protects from sanction. *Western United Realty, Inc. v. Isaacs*, 679 P.2d 1063, 1069 (Colo. 1984); *Bickel v. City of Boulder*, 885 P.2d 215, 228 (Colo. 1994); *Bruce v. City of Colorado Springs*, 129 P.3d 988, 992 (Colo. 2006). Colorado does not punish a litigant for asking a serious, first-impression question simply because the court chose not to adopt the argument.

The constitutional stakes make the error more serious, not less. The First Amendment right to petition protects reasonably directed efforts to obtain judicial review of unsettled questions of public importance. *Cal. Motor Transp. Co. v. Trucking Unlimited*, 404 U.S. 508 (1972); *CSMN Invs., LLC v. Cordillera Metro. Dist.*, 956 F.3d 1276 (10th

Cir. 2020). A fee award on this record chills exactly the kind of citizen oversight and public-interest litigation that the Petition Clause and Colorado's statutory safe harbor are designed to protect.

The record also defeats the suggestion that MASSON engaged in any sanctionable conduct. Her filings were timely, properly supported, and grounded in credible legal authority. She successfully moved to strike the improper motions to dismiss under COLO. REV. STAT. § 1-11-213. CF, p. 301-304. She also filed in a timely manner, served the defendants, met all court deadlines, and filed all trial materials appropriately. There is no finding of bad faith, no finding of delay, and no showing of objectively baseless litigation. What the district court sanctioned here was not frivolity, but advocacy.

This Court should reverse the fee orders in full and direct the district court to deny all requests for attorney fees.

DATED: April 9, 2026

MORGAN C. SMITH LAW FIRM

/s/ Morgan C. Smith
Counsel for Plaintiff/Appellant Emily Masson

CORPORATE DISCLOSURE STATEMENT

Under C.A.R. 26.1, Plaintiff–Appellant Emily Masson is a natural person and not a corporation. Accordingly, there is no parent corporation and no publicly held corporation that owns 10% or more of any ownership interest in Plaintiff–Appellant.

DATED: April 9, 2026

MORGAN C. SMITH LAW FIRM

/s/ Morgan C. Smith
Counsel for Plaintiff/Appellant Emily Masson

CERTIFICATE OF COMPLIANCE

I hereby certify that this brief complies with the applicable word limits set forth in C.A.R. 28 and C.A.R. 32. This brief contains 7,116 words, as determined by the word-processing system used to prepare the brief. The word count includes all text except those portions excluded by C.A.R. 28(g). This brief also complies with the formatting requirements of C.A.R. 32.

DATED: April 9, 2026

MORGAN C. SMITH LAW FIRM

/s/ Morgan C. Smith
Counsel for Plaintiff/Appellant Emily Masson